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A NEW CREDIT SCORE JUST CLEARED FOR MORTGAGES.

It needs one month of history instead of six, and that changes who qualifies.

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SOME BUYERS GET TURNED DOWN FOR THIN CREDIT, NOT BAD CREDIT.

A new score model counts rent and utility payments instead of waiting on six months of history.

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ONE MONTH OF HISTORY. NOT SIX.

VantageScore 4.0 needs just one month of credit history, where FICO needs six, and it can count rent and utility payments too. The Federal Housing Finance Agency approved it, and Fannie Mae and Freddie Mac now accept mortgage credit scores based on it. On loans already using it, Rocket reports scores running about 11 points higher than Classic FICO, and most borrowers got the same price or a slightly better one.

WHAT TO DO WITH A BUYER WHO GOT TOLD NO BEFORE:

1 **Ask the lender if they run VantageScore 4.0.**
Not every lender has turned it on yet.

2 **Ask for both scores if the buyer has thin credit.**
Someone with little card history but a clean rent and utility record could score higher on the new model.

3 **Check the price, not just the score.**
A higher score only helps if it actually changes the rate or the cash needed to close.

4 **Get this confirmed before the offer, not after.**
Lock in which score the pre-approval is actually using.

THE TAKEAWAY

A THIN CREDIT FILE ISN'T A BAD CREDIT FILE.

Ask about VantageScore 4.0 before you tell a buyer they can't qualify yet.

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